



**Employee Handbook –
New Jersey Addendum
January 2026**

New Jersey Addendum

Statutory Short-Term Disability Benefits

Semantic Arts also provides statutory short-term disability insurance.

This is solely a monetary benefit and not a leave of absence. Employees who will be out of work must also request a formal leave of absence. See the Leave of Absence sections of this handbook for more information.

Pre-Tax Transportation Fringe Benefits

Beginning March 1, 2020, all Employees are eligible to receive a pre-tax transportation fringe benefit. This benefit allows commuter highway vehicle and transit benefits to be deducted from employees' gross income. The transportation benefits must be consistent with IRS provisions and limits at the maximum benefit levels allowable under federal law.

Employees should contact Human Resources for further information about the program or to sign up for benefits.

Family Leave Insurance Benefits

If employees need to take time off work for the reasons listed below, they may be eligible to receive family leave benefits through the state of New Jersey. Leave, in this instance, is administered by the Division of Temporary Disability Insurance, the New Jersey Department of Labor and Workforce Development. Reasons are as follows:

- care for a family member with a serious health condition;
- bond with a child during the first 12 months after birth or placement of the child for adoption or as a foster child;
- engage in activities for which unpaid leave may be taken pursuant to the New Jersey Security and Financial Empowerment Act (NJ SAFE Act), on the employee's own behalf, if a victim of an incident of domestic violence or a sexually violent offense, or to assist a family member of the individual who has been a victim of an incident of domestic violence or a sexually violent offense (except for any time for which the employee receives disability benefits for a disability caused by the violence or offense);
- in the event of a state of emergency declared by the Governor, or when indicated to be needed by the Commissioner of Health or other public health authority, an epidemic of a communicable disease, a known or suspected exposure to the communicable disease, or efforts to prevent spread of the communicable disease,

provide in-home care or treatment of the family member of the employee required due to:

1. the issuance by a healthcare provider or the commissioner or other public health authority of a determination that the presence in the community of the family member may jeopardize the health of others; and
2. the recommendation, direction, or order of the provider or authority that the family member be isolated or quarantined as a result of suspected exposure to a communicable disease,

For purposes of this policy, family member includes the employee's child, parent, spouse, domestic partner, civil union partner, parent-in-law, sibling, grandparent, grandchild or any other individual related by blood to the employee, and any other individual with whom the employee has a close association equivalent to a family relationship.

These benefits are financed solely through employee contributions to the state. The state is responsible for determining if employees are eligible for such benefits.

Employees should advise their immediate supervisor or Human Resources if they need to take time for these purposes. Employees will be given information about the state's family leave benefits program and how to apply for benefits. Employees also may contact the Division of Temporary Disability Insurance for further information.

Employees should maintain regular contact with their immediate supervisor during the time off work so Semantic Arts may monitor their return-to-work status. In addition, employees should contact their immediate supervisor or Human Resources when they are ready to return to work so the Company may determine what positions, if any, are open.

Job Reinstatement Not Guaranteed

Please note: employees taking time off for these purposes are not guaranteed job reinstatement unless they qualify for such reinstatement under federal and/or state leave laws. Any time off for family leave purposes will run concurrently with other leaves of absence, such as Family and Medical Leave Act and the New Jersey Family Leave Act and/or the NJ SAFE Act, if applicable. Please see the "Family and Medical Leave" and/or the NJ SAFE Act policies for eligibility requirements.

Retaliation

Employees will not be discharged, harassed, threatened or otherwise discriminated or retaliated against because they have requested or taken any family leave benefits pursuant to this policy.

Family Leave for Employers Not Covered by the FMLA

Eligibility Requirements

Employees are eligible for leave under the New Jersey Family Leave Act (NJFLA) if they:

- Have been employed by the Company for at least 12 months;
- Have worked at least 1,000 “base hours” during the 12-month period preceding the leave; and
- Are employed by an employer with 30 or more employees.

“Base Hours” are the hours of work for which the employee receives compensation including overtime hours and hours for which the employee receives workers’ compensation benefits.

NJFLA Leave Entitlement

The NJFLA provides eligible employees up to 12 workweeks of unpaid, job-protected leave for certain family reasons during a 24-month period. The 24-month period is determined on a “rolling” 24-month period dating back from the time the employee uses any NJFLA leave. Leave may be taken for any one (1), or for a combination, of the following reasons:

- To care for the employee’s child after birth including via a surrogate or gestational carrier or placement for adoption or foster care;
- To care for the employee’s spouse, domestic partner or partner in a civil union, child or parent, parent-in-law, sibling, grandparent, grandchild, or any individual related by blood, or any other individual with a close association equivalent to a family relationship who has a serious health condition; and/or
- In the event of a state of emergency declared by the Governor or when indicated to be needed by the Commissioner of Health or other public health authority, an epidemic of a communicable disease, a known or suspected exposure to the communicable disease, or efforts to prevent spread of a communicable disease, which:
 1. Requires in-home care or treatment of a child due to the closure of the school or place of care of the child of the employee, by order of a public official due to the epidemic or other public health emergency;
 2. Prompts the issuance by a public health authority of a determination, including by mandatory quarantine, requiring or imposing responsive or prophylactic measures as a result of illness caused by an epidemic of a communicable disease or known or suspected exposure to the communicable disease because the presence in the community of a family

- member in need of care by the employee would jeopardize the health of others; or
3. Results in the recommendation of a health care provider or public health authority that a family member (child, parent, parent-in-law, sibling, grandparent, grandchild, spouse, domestic partner or one partner in a civil union couple, or any other individual related by blood to the employee, and any other individual with whom the employee has a close association equivalent to a family relationship) in need of care by the employee voluntarily undergo self-quarantine as a result of suspected exposure to a communicable disease because the presence in the community of that family member in need of care would jeopardize the health of others.

A serious health condition is an illness, injury, impairment, or physical or mental condition that involves either an overnight stay in a medical care facility or continuing treatment by a health care provider for a condition that prevents the covered family member from participating in school or other daily activities. Subject to certain conditions, the continuing treatment requirement may be met by a period of incapacity of more than three (3) consecutive calendar days combined with at least two (2) visits to a health care provider or one (1) visit and a regimen of continuing treatment, or incapacity due to pregnancy, or incapacity due to a chronic condition. Other conditions may meet the definition of continuing treatment.

Restoration of Employment and Benefits

At the end of NJFLA leave, subject to some exceptions, employees generally have the right to return to the same or equivalent position with equivalent pay, benefits and other terms. “Key employees” under NJFLA may be denied NJFLA leave if: 1) the employee is a salaried employee among the highest paid five (5) percent of employees or one (1) of the seven (7) highest paid employees, and 2) denial of the leave is necessary to prevent substantial and grievous economic injury to the Company’s operations. The Company will notify employees if they qualify as “key employees” under the NJFLA and that leave is being denied. Nonetheless, the Company may not deny reinstatement when, in the event of a state of emergency declared by the Governor or when indicated to be needed by the Commissioner of Health or other public health authority, the family leave is for an epidemic of a communicable disease, a known or suspected exposure to a communicable disease, or efforts to prevent spread of a communicable disease. If the denial of the NJFLA leave occurs while the employee’s leave already has begun, the employee must return to work within two (2) weeks.

Use of Leave

NJFLA leave usually will be taken for a period of consecutive days, weeks, or months. However, Employees also may be entitled to take leave intermittently or on a reduced leave

schedule when medically necessary due to a serious health condition of the covered family member, to bond with a child after birth, placement for adoption or foster care, or in the case of leave taken due to an epidemic of a communicable disease, a known or suspected exposure to the communicable disease, or efforts to prevent spread of the communicable disease, if:

1. The covered individual provides the Company with prior notice of the leave as soon as practicable; and
2. The covered individual makes a reasonable effort to schedule the leave so as not to unduly disrupt the operations of the Company and, if possible, provide employee prior to the commencement of the intermittent leave, with a regular schedule of the day or days of the week on which the intermittent leave will be taken.

Substitution of Paid Leave for Unpaid Leave

Employees must use accrued [vacation, PTO, personal] and may elect to use accrued sick time while on unpaid NJFLA leave, except employees will not be required to use any paid time off during any leave also covered under the New Jersey Security and Financial Empowerment Act. The substitution of paid time for unpaid NJFLA leave time does not extend the length of NJFLA leaves and the paid time will run concurrently with the employee's NJFLA entitlement.

Upon written request, the Company will allow employees to use accrued vacation, PTO, personal, and sick time to supplement any applicable paid family leave or other monetary benefits. Receipt of family leave or other monetary benefits does not extend the maximum amount of leave time to which the employee is eligible under the NJFLA.

Employee Responsibilities

Employees requesting intermittent leave under the NJFLA (whether to care for a family member with a serious health condition or to bond with a newborn child or placement for adoption/foster care) must provide Human Resources with 15 days' advance notice from the first day of the intermittent leave unless an emergency or other unforeseen circumstance precludes prior notice. Employees must make a reasonable effort to schedule the leave so as to not unduly disrupt the operations of the Company. Employees must, if possible, provide the Company the regular schedule of the days or days of the week on which intermittent leave will be taken prior to the commencement of the intermittent leave

For all other reasons, employees must provide 30 days' advance notice of the need to NJFLA leave when the need is foreseeable. When 30 days' notice is not possible, or the approximate timing of the need for leave is not foreseeable, employees must provide the Company notice of the need for leave as soon as practicable under the facts and

circumstances of the particular case. Employees who fail to give 30 days' notice for foreseeable leave without a reasonable excuse for the delay, or otherwise fail to NJFLA notice obligations, may have leave delayed or denied, to the extent permitted by applicable law.

Employees must provide sufficient information for the Company to determine if the leave may qualify for NJFLA protection and the anticipated timing and duration of the leave. Sufficient information may include that the covered family member is under the continuing care of a health care provider or a condition renders the family member unable to perform daily activities.

Employees also must inform the Company if the requested leave is for a reason for which NJFLA leave was previously taken or certified. Employees may also be required to provide medical certification and periodic recertification supporting the need for leave.

Questions about NJFLA Leave

If employees have questions regarding this NJFLA policy, they should contact Human Resources.